

ProcuraLogic

Stop Getting Lost in Contract Language

40 terms that can cost you money if you misunderstand them.

Most contracts don't confuse you by accident. They're written that way. And buried inside that language are terms that can:

- Lock you into multi-year agreements
- Limit what you can recover in a dispute
- Shift risk onto you without realizing it

If you don't understand the language, you don't understand the deal. And if you don't understand the deal, you're taking on risk without realizing it. **This glossary fixes that, before it costs you.** Because the difference between a good deal and a bad one is often just one misunderstood term.

Use it to:

- Translate legal terms into plain English
- Spot risk instantly
- Know what actually matters before you sign

How to use this glossary

Use this as a real-time decoder while reviewing contracts. When you hit a term you don't fully understand, stop. Look it up here. Because the terms you skip are usually the ones that matter most.

Terms A–Z

■■ **Don't just read definitions. Read for impact.** Every term in a contract does one of three things: impacts your money, impacts your risk, or impacts your flexibility. Your job is to identify which one. *Most contracts are won or lost in the definitions section, not the signature page. This is where experienced operators focus, and where most people overlook risk.*

Agreement

The full legal contract between two or more parties, including all attached exhibits, schedules, and referenced policies.

Amendment

A formal written change to an existing contract, signed by both parties. An amendment replaces or adds specific terms; the rest of the contract stays in force.

Assignment

Transferring rights or obligations under a contract to a third party (often during an acquisition). Most contracts require the other party's consent to assign.

■ **CONTROL RISK:** *Your contract could be transferred to a party you didn't choose.*

Auto-Renewal

A clause that renews the contract automatically for another term unless one party sends notice to cancel within a specified window.

■ **LOCK-IN RISK:** *If you miss the notice window, you're automatically committed again.*

Breach

A failure to perform a contractual obligation. A 'material breach' is serious enough to give the other party the right to terminate.

Cap on Liability

The maximum dollar amount a party will pay for damages. Most SaaS contracts cap liability at 12 months of fees paid.

■■ **FINANCIAL LIMIT:** *This is the maximum you can recover, even if damages are higher.*

Change Order

A written document that modifies scope, price, or timeline on a Statement of Work. Without a signed change order, the original SOW controls.

Confidential Information

Non-public information shared under the contract that the receiving party must protect. Definitions vary widely. Read carefully.

Consequential Damages

Indirect losses like lost profits or reputational harm. Most contracts exclude these, meaning you can't recover them even if you win a dispute.

■ **HIDDEN LOSS:** *You may NOT recover lost revenue or indirect losses.*

Cure Period

A grace window (often 30 days) for the breaching party to fix a problem before the other party can terminate or sue.

Data Processing Agreement (DPA)

An addendum covering how a vendor handles personal data on your behalf. Required under GDPR, CCPA, and similar laws.

Effective Date

The date the contract legally starts. May be different from the signature date if the parties agree.

Evergreen Clause

Another name for an auto-renewal clause that keeps renewing indefinitely unless someone opts out.

Exclusivity

A commitment to work with only one party for a defined scope or period. Evaluate whether the tradeoff is worth giving up alternatives.

■ **FLEXIBILITY LOSS:** *You may be giving up better options.*

Force Majeure

A clause excusing performance during events outside a party's control (natural disasters, war, pandemics). Look at what specifically is covered.

Governing Law

The state or country whose laws will be used to interpret the contract. Often paired with a venue clause.

■ **ENFORCEMENT COST:** *Out-of-state jurisdiction means real legal expense.*

Indemnification

One party's promise to cover the other's losses from specific claims (e.g., IP infringement, data breach caused by the indemnifier).

■ **HIGH RISK:** *This can shift major legal and financial responsibility onto you.*

Intellectual Property (IP)

Creations of the mind: software, designs, brand marks, content. Contracts should state clearly who owns IP created during the engagement.

■■ **OWNERSHIP RISK:** *If unclear, you may not own what you paid for.*

Liability

Legal responsibility for damages. Contracts often limit each party's liability to each other.

Limitation of Liability

A clause that restricts how much a party can be held responsible for and for what types of damage.

Master Services Agreement (MSA)

An umbrella contract setting the default terms for an ongoing relationship. Specific work is then done under SOWs that reference the MSA.

Net Payment Terms (e.g., Net 30)

The number of days the buyer has to pay an invoice. Net 30 = payment due 30 days after invoice date.

Non-Disclosure Agreement (NDA)

A contract protecting confidential information. Can be one-way or mutual. Often signed before a bigger commercial contract.

Order Form

A short document listing what's being purchased, quantity, and price. Usually references an MSA that provides the legal terms.

Payment Terms

The rules for when, how, and in what currency payment is made, including late fees, disputes, and credits.

■■ **CASH FLOW IMPACT:** *Net terms directly affect your liquidity.*

■■ **Where contracts quietly cost you money.** These terms directly affect what you pay, what you get, and what happens when things go wrong. *Most overpayments don't come from price. They come from terms you didn't question. And by the time you notice, those terms are already in effect.*

Pass-Through Costs

Expenses the vendor incurs and re-bills to you, usually at cost plus a markup. Confirm which costs qualify.

■■ **COST ESCALATION:** *Vendors can pass unexpected expenses to you.*

Perpetual License

A software license that doesn't expire, in contrast to a subscription. Often paired with an optional annual support & maintenance fee.

Renewal Term

The additional period a contract extends into after the initial term ends (often triggered by auto-renewal).

Representations & Warranties

Factual statements each party promises are true. If they turn out to be false, that's typically a breach.

Right of First Refusal

A promise that before you sign with anyone else, you must offer the deal on the same terms to a specified party first.

Service Level Agreement (SLA)

A measurable commitment about service performance (uptime, response time, resolution time) and the remedies if the vendor misses it.

Service Credits

The typical SLA remedy: a percentage credit against future fees when the vendor misses its targets. Rarely makes you whole.

■ **MISLEADING PROTECTION:** *Credits rarely cover actual business impact.*

SOC 2

An independent audit report on a vendor's security controls. Request the latest report before signing contracts involving sensitive data.

Statement of Work (SOW)

A document describing the specific deliverables, timeline, and price for a project, usually executed under an MSA.

Subcontractor / Subprocessor

A third party the vendor uses to perform part of its obligations. Contracts should require approval or notice before adding subprocessors.

Term

The length of time the contract is in effect, from the effective date to termination or expiration.

Termination for Cause

The right to end a contract because the other party breached. Usually requires notice and a cure period.

Termination for Convenience

The right to end a contract without needing a reason. Often one-sided in vendor contracts. Negotiate for parity.

■ **NEGOTIATION GAP:** *If only the vendor has this right, you're locked in.*

Uptime / Availability

The percentage of time a service is operational. 99.9% uptime allows ~8.7 hours of downtime per year; 99.99% allows ~52 minutes.

Warranty

A promise that a product or service will perform as described. Many vendors try to disclaim implied warranties entirely.

■■ Understanding terms is step one

Most bad deals don't happen because people didn't read contracts. They happen because they didn't understand key terms, and they didn't know what to push back on. That's where we step in.

At ProcuraLogic, we help you:

- Translate complex contracts into clear decisions
- Identify hidden risks
- Strengthen your negotiation position

■■ Reviewing a contract soon? Get a professional review before you sign. Because once you sign, your leverage is gone. Upload your contract at procura-logic.com. Turnaround depends on contract complexity.

Most terms are negotiable, but only if you catch them early.

Disclaimer

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